QUARTERLY INVESTOR REPORT

Eastlake Health Center | Buffalo, NY

Investment	Eastlake Health Center
Quarter	4Q 2020
Report Date	June 16, 2024
Sponsor	Granite Lane Realty
Occupancy	88.5%

Risk Considerations

Patient parking and ADA-compliant access are provided at a ratio of 35 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 13.3% with an equity multiple of 1.10x over the hold period.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Projected levered IRR is 9.9% with an equity multiple of 1.44x over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Distributions to investors for the quarter were paid at an annualized rate of 3.9% on contributed capital.

Property Operations

Patient parking and ADA-compliant access are provided at a ratio of 26 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

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Risk Considerations

Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Patient parking and ADA-compliant access are provided at a ratio of 48 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Patient parking and ADA-compliant access are provided at a ratio of 5 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Patient parking and ADA-compliant access are provided at a ratio of 19 spaces per 1,000 square feet. Collections for the period were 92.1% of billed charges, with bad debt of 4.6% of gross potential income.

Service requests are tracked through a work-order system with an average completion time of 35 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Collections for the period were 89.2% of billed charges, with bad debt of 7.3% of gross potential income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Investment Overview

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 14 spaces per 1,000 square feet.

Service requests are tracked through a work-order system with an average completion time of 14 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 94.4% of billed charges, with bad debt of 5.6% of gross potential income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members.

Business Plan Progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Energy	02/28/25	Q1 2025	$28,000	$20,619	Bidding
Fire alarm panel upgrade	Building	09/27/24	Q1 2026	$146,000	$42,699	Approved
Signage / monument	Building	08/04/23	Q4 2027	$339,000	$341,346	Bidding
Landscape / irrigation	Interior	03/11/24	Q4 2025	$279,000	$128,509	In progress
Fire alarm panel upgrade	Site	08/25/24	Q4 2026	$55,000	$47,727	Bidding
Roof replacement - Bldg C	Energy	06/19/25	Q1 2025	$864,000	$827,051	Bidding
Unit interior upgrades	Energy	03/28/25	Q2 2027	$214,000	$120,718	Approved
Lobby renovation	Interior	06/03/23	Q3 2025	$43,000	$40,876	Deferred
Lobby renovation	Energy	05/09/23	Q3 2025	$502,000	$413,297	Approved
Sewer line repair	Site	09/12/26	Q1 2027	$825,000	$586,986	Approved
Storefront glazing	Energy	09/10/24	Q2 2026	$183,000	$160,635	Bidding
Pool resurfacing	Interior	04/10/23	Q2 2026	$257,000	$136,054	Bidding
Fire alarm panel upgrade	Interior	10/28/25	Q2 2026	$225,000	$114,354	In progress
Sewer line repair	Life Safety	10/04/26	Q4 2027	$585,000	$94,006	Approved
Exterior paint	Interior	07/28/25	Q2 2027	$478,000	$70,654	Complete
Landscape / irrigation	Interior	04/25/24	Q1 2026	$401,000	$399,136	In progress
Fence replacement	Interior	11/08/26	Q4 2027	$339,000	$127,965	Bidding
Elevator modernization	Site	08/21/24	Q3 2026	$132,000	$38,289	Complete
LED lighting retrofit	Building	08/25/25	Q4 2027	$788,000	$733,344	Approved
Parking lot resurfacing	Interior	07/07/24	Q4 2026	$760,000	$182,983	Deferred
Unit interior upgrades	Energy	03/28/23	Q2 2026	$126,000	$115,280	In progress
Exterior paint	Energy	02/17/24	Q1 2026	$302,000	$74,454	Approved
Pool resurfacing	Interior	05/31/24	Q3 2026	$184,000	$43,332	Bidding
Landscape / irrigation	Energy	09/01/25	Q4 2026	$234,000	$69,825	In progress
Amenity renovation	Interior	02/29/26	Q1 2026	$837,000	$414,071	Approved
Exterior paint	Energy	02/08/23	Q3 2027	$373,000	$290,850	Bidding
HVAC replacement	Life Safety	01/21/25	Q2 2026	$192,000	$185,712	Complete
Door hardware	Energy	04/02/25	Q4 2027	$705,000	$425,812	In progress
Pool resurfacing	Site	02/03/25	Q3 2027	$771,000	$276,287	Approved
Roof replacement - Bldg C	Energy	05/27/23	Q2 2026	$390,000	$397,532	Deferred
Storefront glazing	Life Safety	05/03/24	Q1 2026	$242,000	$39,712	Bidding
Water heater replacement	Life Safety	02/16/24	Q3 2027	$86,000	$10,354	Bidding
Storefront glazing	Energy	08/25/25	Q2 2026	$292,000	$299,800	Complete
Security camera upgrade	Building	04/04/23	Q4 2026	$771,000	$535,454	Bidding
Roof replacement - Bldg D	Life Safety	05/14/24	Q3 2027	$273,000	$248,143	In progress
Fence replacement	Site	02/04/26	Q4 2027	$547,000	$553,913	Deferred
Fence replacement	Interior	01/23/25	Q1 2025	$105,000	$44,788	In progress
Storefront glazing	Building	08/18/24	Q3 2026	$896,000	$936,838	In progress
Parking lot resurfacing	Life Safety	07/07/26	Q2 2027	$774,000	$458,057	Bidding
Exterior paint	Interior	11/20/23	Q1 2025	$516,000	$516,515	In progress

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Income and Expense Review

Debt service coverage ratio was 6.23x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. Effective gross income for the trailing period was $423,000, representing a 7.4% increase over the prior year. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Operating expenses totaled $44,000 or approximately 16.42 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $422,000, representing a 10.3% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet.

Market Overview

Median household income within a 4-mile radius of the property is approximately $115,000 and has grown 3.5% annually. The Buffalo Medical Office market has experienced absorption of 1000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 7.9% annually over the past 11 years. Employment growth is led by healthcare, logistics, education and professional services sectors. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The Buffalo Medical Office market has experienced absorption of 2400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. The going-in capitalization rate of 6.53% reflects the in-place income and the stabilized occupancy assumption. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. Operating expenses totaled $269,000 or approximately 29.45 per square foot, with real estate taxes representing the largest line item.

Patient parking and ADA-compliant access are provided at a ratio of 8 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $244,000, representing a 6.8% increase over the prior year. Debt service coverage ratio was 8.12x on a trailing basis against a covenant minimum of 1.20x.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Patient parking and ADA-compliant access are provided at a ratio of 41 spaces per 1,000 square feet. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Eastlake Health Center is located in Buffalo, NY, a market that has recorded 11.0% population growth over the last five years. Rent growth in the submarket has averaged 7.7% annually over the past 4 years.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 36 spaces per 1,000 square feet. The Buffalo Medical Office market has experienced absorption of 3900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rent growth in the submarket has averaged 5.6% annually over the past 5 years.

Valuation Discussion

Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $200,000, representing a 13.4% increase over the prior year. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$188,376	$181,109	$189,617	$1,241	0.7%	$4,861.97
5010 Loss to Lease	$106,825	$98,343	$105,072	-$1,753	-1.6%	$2,694.16
5020 Vacancy Loss	$168,248	$172,981	$180,148	$11,900	7.1%	$4,619.18
5030 Concessions	$511,435	$477,280	$499,575	-$11,860	-2.3%	$12,809.62
5040 Bad Debt	$471,155	$436,047	$455,603	-$15,551	-3.3%	$11,682.14
5050 Late Fees	$353,659	$327,902	$332,867	-$20,792	-5.9%	$8,535.04
5060 Utility Reimbursements	$167,442	$178,917	$187,566	$20,123	12.0%	$4,809.37
5070 Parking Income	$593,017	$553,927	$589,234	-$3,784	-0.6%	$15,108.56
5080 Application Fees	$203,080	$215,277	$215,610	$12,531	6.2%	$5,528.47
5090 Pet Rent	$599,116	$553,127	$583,078	-$16,038	-2.7%	$14,950.71
5100 Laundry Income	$189,930	$177,054	$177,287	-$12,643	-6.7%	$4,545.82
5110 Cable/Internet Revenue	$390,024	$421,095	$449,935	$59,911	15.4%	$11,536.79
5120 CAM Reimbursements	$156,788	$147,935	$150,158	-$6,630	-4.2%	$3,850.20
5130 Tax Reimbursements	$413,983	$446,768	$448,650	$34,667	8.4%	$11,503.84
5140 Insurance Reimbursements	$411,378	$439,911	$445,577	$34,199	8.3%	$11,425.04
5150 Percentage Rent	$196,161	$196,178	$207,006	$10,845	5.5%	$5,307.83
5160 Misc. Income	$549,556	$571,765	$596,867	$47,311	8.6%	$15,304.27
5170 Payroll - Management	$140,001	$138,202	$140,138	$137	0.1%	$3,593.29
5180 Payroll - Leasing	$227,588	$229,404	$239,800	$12,212	5.4%	$6,148.72
5190 Payroll - Maintenance	$189,631	$200,688	$206,095	$16,464	8.7%	$5,284.48
5200 Payroll Taxes & Benefits	$281,365	$262,435	$271,035	-$10,330	-3.7%	$6,949.62
5210 Repairs - Plumbing	$582,437	$580,125	$613,633	$31,196	5.4%	$15,734.17
5220 Repairs - HVAC	$694,332	$651,712	$678,937	-$15,395	-2.2%	$17,408.64
5230 Repairs - Electrical	$664,547	$638,108	$648,750	-$15,796	-2.4%	$16,634.62
5240 Repairs - Appliances	$605,432	$581,137	$589,087	-$16,345	-2.7%	$15,104.80
5250 Painting & Decorating	$282,857	$287,123	$297,811	$14,954	5.3%	$7,636.18
5260 Flooring	$275,954	$254,593	$257,756	-$18,197	-6.6%	$6,609.14
5270 Make-Ready / Turnover	$427,301	$446,644	$461,491	$34,191	8.0%	$11,833.11
5280 Landscaping Contract	$38,321	$38,533	$40,156	$1,835	4.8%	$1,029.63
5290 Snow Removal	$443,571	$414,769	$431,406	-$12,166	-2.7%	$11,061.68
5300 Janitorial	$375,537	$355,027	$375,350	-$186	-0.0%	$9,624.37
5310 Pest Control	$43,769	$43,675	$44,891	$1,122	2.6%	$1,151.05
5320 Trash Removal	$517,603	$496,151	$524,780	$7,177	1.4%	$13,455.91
5330 Elevator Contract	$248,467	$232,450	$247,971	-$496	-0.2%	$6,358.24
5340 Fire & Life Safety	$131,227	$141,541	$151,050	$19,823	15.1%	$3,873.08
5350 Security	$121,278	$114,577	$117,217	-$4,061	-3.3%	$3,005.57
5360 Electricity - Common	$516,911	$542,588	$580,417	$63,506	12.3%	$14,882.49
5370 Gas - Common	$405,630	$384,674	$411,324	$5,694	1.4%	$10,546.77
5380 Water & Sewer	$641,830	$602,629	$639,999	-$1,831	-0.3%	$16,410.23
5390 Telephone/Internet	$59,842	$56,648	$60,247	$405	0.7%	$1,544.80

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Investment Overview

Patient parking and ADA-compliant access are provided at a ratio of 20 spaces per 1,000 square feet. Projected levered IRR is 10.0% with an equity multiple of 1.6x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.4% on contributed capital. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns.

Management Commentary

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 34 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Business Plan Progress

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Patient parking and ADA-compliant access are provided at a ratio of 28 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Leasing and Marketing

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Patient parking and ADA-compliant access are provided at a ratio of 30 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 90.6% of billed charges, with bad debt of 3.7% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day.

Investment Overview

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Projected levered IRR is 9.7% with an equity multiple of 1.34x over the hold period.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Unit interior upgrades	Life Safety	11/28/23	Q2 2026	$403,000	$268,995	Deferred
Roof replacement - Bldg B	Building	02/15/23	Q1 2025	$251,000	$153,824	Deferred
ADA compliance	Energy	01/08/26	Q3 2026	$172,000	$152,620	Complete
Pool resurfacing	Interior	01/01/26	Q2 2027	$244,000	$218,292	Complete
Lobby renovation	Site	02/14/23	Q2 2026	$48,000	$2,452	Complete
LED lighting retrofit	Interior	09/20/24	Q3 2025	$39,000	$19,897	Approved
Exterior paint	Life Safety	08/19/24	Q3 2025	$105,000	$33,449	Deferred
Fence replacement	Site	04/21/23	Q1 2025	$685,000	$538,128	In progress
Door hardware	Building	02/07/24	Q1 2027	$318,000	$57,621	In progress
Storefront glazing	Interior	09/11/24	Q1 2027	$744,000	$618,405	In progress
Exterior paint	Life Safety	02/22/25	Q1 2025	$529,000	$117,792	Approved
Door hardware	Energy	09/17/25	Q4 2025	$348,000	$71,053	Approved
Amenity renovation	Life Safety	04/11/26	Q3 2027	$453,000	$23,160	Bidding
LED lighting retrofit	Life Safety	05/06/23	Q4 2026	$504,000	$372,085	In progress
Security camera upgrade	Life Safety	08/27/25	Q3 2027	$61,000	$58,025	Complete
Exterior paint	Life Safety	11/26/25	Q3 2025	$257,000	$250,901	Bidding
Security camera upgrade	Energy	03/10/25	Q1 2025	$50,000	$40,390	Approved
Elevator modernization	Energy	10/09/24	Q4 2025	$19,000	$3,856	In progress
Roof replacement - Bldg B	Site	10/01/23	Q1 2027	$799,000	$118,871	Complete
Parking lot resurfacing	Life Safety	08/30/25	Q4 2027	$677,000	$546,680	Bidding
LED lighting retrofit	Site	10/19/23	Q4 2026	$737,000	$276,242	Complete
ADA compliance	Life Safety	04/07/26	Q3 2025	$237,000	$49,783	Deferred
Storefront glazing	Building	06/01/24	Q1 2027	$63,000	$66,038	Complete
Fire alarm panel upgrade	Interior	05/01/23	Q3 2025	$299,000	$272,454	Complete
Amenity renovation	Interior	09/12/23	Q2 2025	$454,000	$28,887	Complete
Security camera upgrade	Interior	10/26/24	Q2 2026	$763,000	$242,969	Approved
Fence replacement	Life Safety	05/19/25	Q1 2025	$237,000	$9,638	In progress
Elevator modernization	Site	08/10/26	Q1 2025	$524,000	$116,689	Deferred
Water heater replacement	Building	06/26/24	Q2 2027	$631,000	$76,319	In progress
LED lighting retrofit	Energy	11/29/23	Q2 2025	$148,000	$138,562	Complete
Security camera upgrade	Interior	09/10/24	Q2 2027	$566,000	$357,554	In progress
Unit interior upgrades	Energy	10/06/24	Q2 2025	$607,000	$208,284	Approved
Roof replacement - Bldg B	Energy	06/17/24	Q1 2027	$406,000	$180,516	Complete
Pool resurfacing	Interior	03/11/25	Q2 2027	$175,000	$26,810	Complete
Parking lot resurfacing	Life Safety	07/30/25	Q1 2027	$237,000	$86,079	Bidding
Fence replacement	Interior	02/08/26	Q2 2026	$685,000	$392,327	In progress
Fire alarm panel upgrade	Energy	01/13/25	Q4 2027	$488,000	$340,486	In progress
Elevator modernization	Energy	02/07/26	Q3 2025	$477,000	$279,135	Bidding
Lobby renovation	Life Safety	12/23/26	Q4 2026	$392,000	$176,361	Approved
Lobby renovation	Site	08/06/24	Q2 2027	$387,000	$122,834	Approved

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Financial Analysis

Effective gross income for the trailing period was $178,000, representing a 3.1% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 29 spaces per 1,000 square feet. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $221,000 or approximately 15.83 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.59x on a trailing basis against a covenant minimum of 1.20x.

The going-in capitalization rate of 6.86% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 35 spaces per 1,000 square feet. Debt service coverage ratio was 6.70x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Submarket Analysis

Rent growth in the submarket has averaged 5.3% annually over the past 10 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Medical Office product stands at 9.5%, down from 7.5% two years ago. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 34 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Eastlake Health Center is located in Buffalo, NY, a market that has recorded 7.0% population growth over the last five years. Rent growth in the submarket has averaged 4.3% annually over the past 11 years. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The Buffalo Medical Office market has experienced absorption of 1700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Medical Office assets in Buffalo remains strong with recent trades at capitalization rates between 6.60% and 6.60%.

Valuation Discussion

Patient parking and ADA-compliant access are provided at a ratio of 12 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.93x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. The going-in capitalization rate of 7.31% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 6.84x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.11% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Effective gross income for the trailing period was $335,000, representing a 13.1% increase over the prior year.

Demographics and Employment

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The Buffalo Medical Office market has experienced absorption of 2000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 9-mile radius of the property is approximately $333,000 and has grown 5.1% annually. Rent growth in the submarket has averaged 5.1% annually over the past 8 years.

Eastlake Health Center is located in Buffalo, NY, a market that has recorded 13.2% population growth over the last five years. The Buffalo Medical Office market has experienced absorption of 2000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 1-mile radius of the property is approximately $356,000 and has grown 5.9% annually. Investor demand for Medical Office assets in Buffalo remains strong with recent trades at capitalization rates between 5.08% and 5.08%. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Rent growth in the submarket has averaged 4.8% annually over the past 10 years.

Income and Expense Review

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$530,468	$497,780	$527,499	-$2,969	-0.6%	$13,525.61
5420 Office Supplies	$247,712	$237,558	$240,802	-$6,910	-2.8%	$6,174.42
5430 Legal & Professional	$388,889	$384,222	$385,009	-$3,880	-1.0%	$9,872.02
5440 Accounting & Audit	$230,562	$217,279	$218,315	-$12,247	-5.3%	$5,597.82
5450 Licenses & Permits	$367,767	$377,522	$381,950	$14,183	3.9%	$9,793.59
5460 Management Fee	$154,615	$156,263	$163,941	$9,326	6.0%	$4,203.61
5470 Property Insurance	$276,399	$272,066	$280,648	$4,249	1.5%	$7,196.09
5480 Real Estate Taxes	$333,927	$313,778	$333,304	-$622	-0.2%	$8,546.27
5490 Asset Management Fee	$378,160	$392,871	$396,063	$17,903	4.7%	$10,155.47
5500 Replacement Reserves	$327,386	$303,831	$318,014	-$9,373	-2.9%	$8,154.20
5510 Roof Repairs	$159,481	$162,274	$163,189	$3,708	2.3%	$4,184.32
5520 Parking Lot Repairs	$289,899	$298,607	$312,081	$22,182	7.7%	$8,002.07
5530 Signage	$411,943	$429,769	$450,178	$38,236	9.3%	$11,543.03
5540 Tenant Improvements	$649,056	$626,466	$633,765	-$15,291	-2.4%	$16,250.38
5550 Leasing Commissions	$192,739	$199,612	$200,533	$7,795	4.0%	$5,141.88
5000 Gross Potential Rent	$545,164	$518,727	$525,045	-$20,119	-3.7%	$13,462.69
5010 Loss to Lease	$135,815	$135,769	$138,604	$2,789	2.1%	$3,553.95
5020 Vacancy Loss	$253,008	$249,635	$254,674	$1,667	0.7%	$6,530.11
5030 Concessions	$353,575	$374,164	$392,222	$38,647	10.9%	$10,056.99
5040 Bad Debt	$50,712	$54,272	$55,342	$4,630	9.1%	$1,419.02
5050 Late Fees	$709,209	$677,471	$680,566	-$28,642	-4.0%	$17,450.42
5060 Utility Reimbursements	$271,849	$279,308	$293,133	$21,284	7.8%	$7,516.23
5070 Parking Income	$577,793	$533,145	$568,229	-$9,564	-1.7%	$14,569.98
5080 Application Fees	$257,561	$258,412	$267,075	$9,514	3.7%	$6,848.08
5090 Pet Rent	$85,150	$87,283	$87,439	$2,289	2.7%	$2,242.02
5100 Laundry Income	$683,227	$680,216	$701,323	$18,096	2.6%	$17,982.65
5110 Cable/Internet Revenue	$298,371	$319,843	$329,922	$31,551	10.6%	$8,459.53
5120 CAM Reimbursements	$367,633	$348,298	$352,510	-$15,123	-4.1%	$9,038.72
5130 Tax Reimbursements	$314,787	$332,846	$352,982	$38,194	12.1%	$9,050.82
5140 Insurance Reimbursements	$425,857	$431,379	$449,710	$23,853	5.6%	$11,531.02
5150 Percentage Rent	$218,413	$230,623	$243,394	$24,981	11.4%	$6,240.86
5160 Misc. Income	$571,942	$557,628	$590,787	$18,845	3.3%	$15,148.39
5170 Payroll - Management	$523,957	$509,362	$520,693	-$3,264	-0.6%	$13,351.10
5180 Payroll - Leasing	$281,823	$270,562	$273,231	-$8,593	-3.0%	$7,005.92
5190 Payroll - Maintenance	$632,058	$625,432	$664,781	$32,723	5.2%	$17,045.67
5200 Payroll Taxes & Benefits	$160,137	$150,729	$161,145	$1,008	0.6%	$4,131.92
5210 Repairs - Plumbing	$120,942	$123,769	$130,335	$9,393	7.8%	$3,341.92
5220 Repairs - HVAC	$226,446	$210,494	$219,570	-$6,877	-3.0%	$5,629.99
5230 Repairs - Electrical	$332,189	$342,311	$357,391	$25,202	7.6%	$9,163.88
5240 Repairs - Appliances	$427,977	$400,286	$420,865	-$7,112	-1.7%	$10,791.42
5250 Painting & Decorating	$657,960	$699,891	$715,193	$57,234	8.7%	$18,338.29

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Disclaimer and Confidentiality

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Time is of the essence with respect to each and every provision of this instrument. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of NY. This document relates solely to Eastlake Health Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Eastlake Health Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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